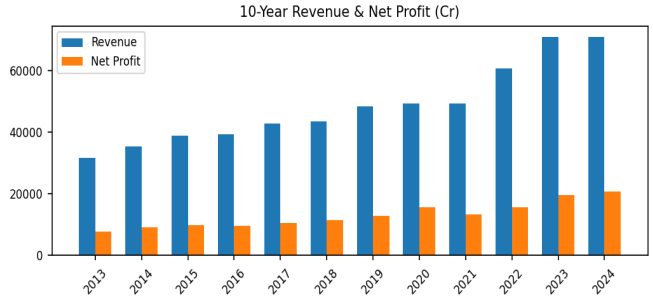
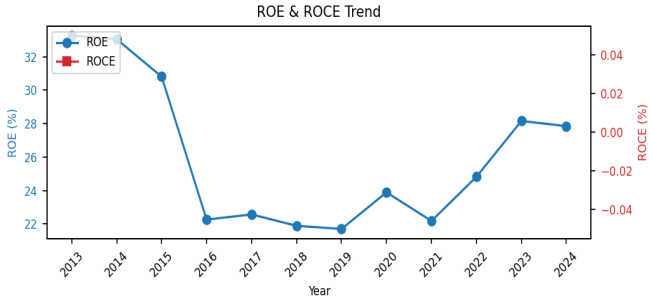
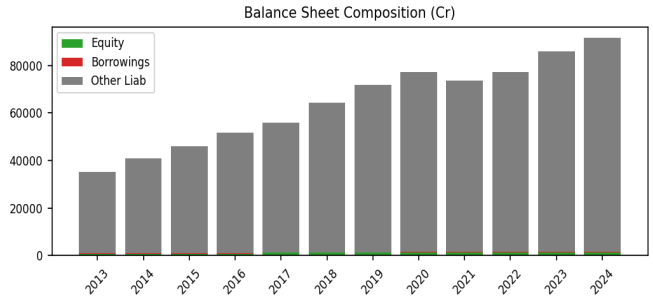
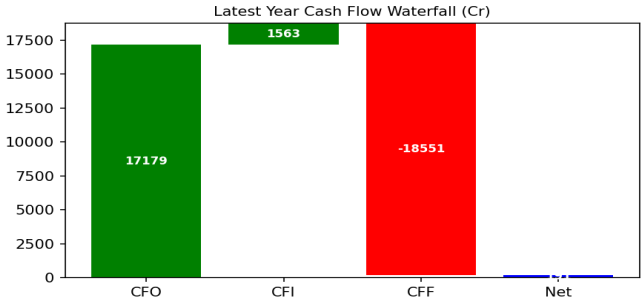
ITC Ltd (ITC)

Revenue	Net Profit	Total Equity
■7.1T	■2.1T	■1248Cr
ROE	**ROCE**	**D/E**
27.9%	-	0.00x









Pros	Cons
• Consistently high return on equity above 20% demonstrates exceptional capital efficiency (Conf: 90%) • Strong free cash flow generation over 5 years signals healthy business fundamentals (Conf: 95%) • Debt-free balance sheet provides financial flexibility and eliminates interest burden (Conf: 100%) • Operating profit margin above 25% indicates strong pricing power and cost discipline (Conf: 80%) • Very high interest coverage ratio reflects negligible financial stress from debt servicing (Conf: 85%) • Consistent dividend yield above 2% backed by positive free cash flow (Conf: 80%) • Revenue growing slower than profits shows improving operating leverage and scale benefits (Conf: 70%) • Growing asset base funded by internal accruals reflects self-sustaining growth (Conf: 80%)	• Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable (Conf: 90%)

Capital Allocation Pattern: Liquidating Assets